

THE MECE ISSUE TREE FRAMEWORK AND PROBLEM SOLVING

1. Core Concept and Structuring Parameters (The Drawer Analogy)

1. Think of MECE as sorting a messy drawer into labeled boxes so that everything is tidy and easy to find.
2. Non-overlapping parts (Mutually Exclusive): No single item can fit into more than one box. If you have one box for socks and another for red clothes, a red sock fits in both, causing confusion. In business, grouping by Retail, Online, and Wholesale ensures every transaction belongs to exactly one bucket, preventing double-counting of sales.
3. Complete picture (Collectively Exhaustive): Every item must end up in a box with nothing left on the floor. If a few items do not fit the main labels, you must create an 'Other' box to keep the collection complete and ensure 100 percent coverage.
4. Minto Rule 1 (Summary): Ideas at any level must summarize the sub-points grouped below them for a top-down logical flow.
5. Minto Rule 2 (Parallelism): Ideas in a group must share the same level of abstraction (do not mix macro trends with tactical tasks).
6. Minto Rule 3 (Ordering): Ideas in a group must follow a logical order (structural/geographical, chronological, or qualitative).

2. Four-Stage Working Steps to Construct an Issue Tree

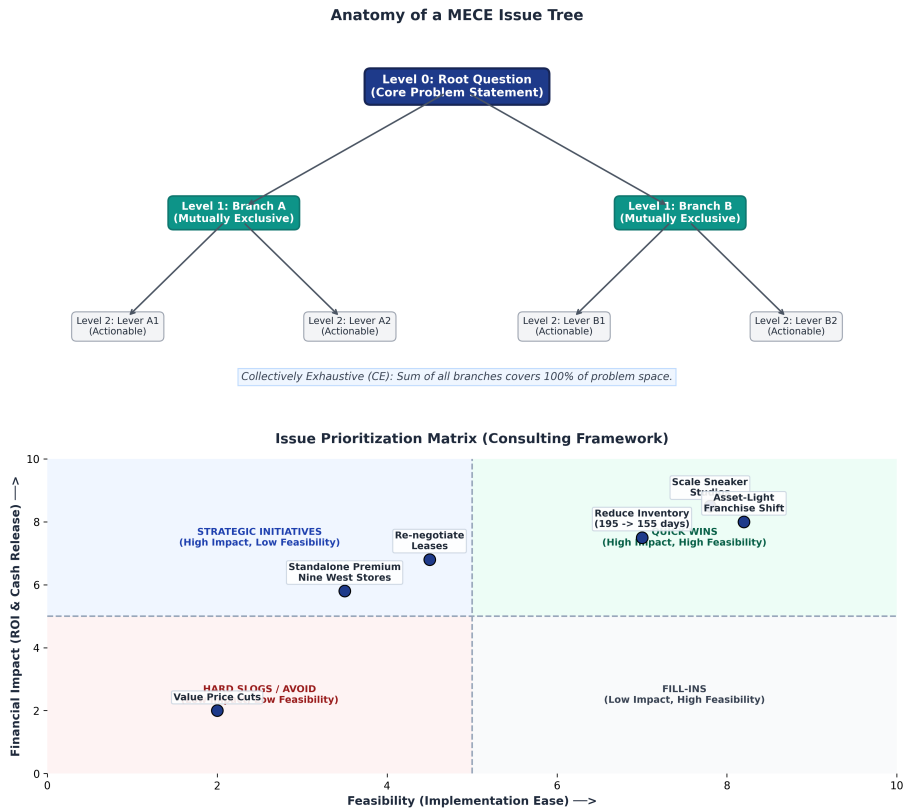
1. Define the core question: Frame a specific, measurable, and time-bound problem statement at the top of the tree.
2. Deconstruct horizontally (Level 1): Break the core question into 2 to 4 major, non-overlapping branches that cover the whole space. For example, split profit into Revenue and Costs, or split retail growth into existing store growth and new store openings.
3. Drill down vertically (Level 2 & 3): Breakdown each major branch into specific, actionable leaves that represent root causes.
4. Validate and test logic: Apply the separation test (ensuring branches do not affect each other) and the coverage test (ensuring no gaps exist) to finalize the tree structure before gathering client data.

3. Prioritizing Levers (The 80/20 Rule)

1. The 80/20 Rule: Focus strictly on the 20 percent of drivers that generate 80 percent of the total business value to save client time.
2. Evaluation Matrix: Map deconstructed leaves on a 2x2 grid comparing Financial Impact vs. Feasibility.
3. Impact parameters: Financial margin expansion, working capital cash velocity, and long-term strategic moats.
4. Feasibility parameters: Capital requirement (CapEx), operational complexity, regulatory hurdles, and organizational friction.
5. Quick Wins: High-impact and high-feasibility leaves (like inventory reduction) are prioritized first to release cash.

4. Sources for Methodology

1. McKinsey and Company standard problem-solving frameworks.
2. The Minto Pyramid Principle by Barbara Minto.



BATA INDIA: DIAGNOSTIC CASE STUDY & RECOMMENDATIONS

1. Bata Company Overview Deconstructed via MECE

- 1. Revenue Branch: Split into Company-Owned stores (904 stores, capital-heavy, high overhead) vs. Franchise stores (500+ stores, asset-light). The deconstruction shows that Company-Owned stores are dragging down efficiency.
- 2. Capital Employed Branch: Decomposed into Fixed Capital (ROU lease assets of Rs. 1,210.90 Cr, store renovations CapEx of Rs. 337.57 Cr) and Working Capital (Inventory of Rs. 829.41 Cr, Receivables of Rs. 111.45 Cr). High fixed lease assets drag down asset turnover to 0.91.
- 3. Cost Branch: Split into Cost of Goods Sold (43.7% of sales) vs. lease rental liabilities. Raw material inflation in the value segment has squeezed margins, while store renovations (Rs. 337.57 Cr CapEx) failed to drive volume growth.

2. Identifying Bata Issues via MECE Formula Deconstruction

- 1. Formula Break: $ROCE = \text{Operating Margin} \times \text{Asset Turnover}$. By checking each branch against peers, we isolate the problem.
- 2. Operating Margin Branch: Bata core operating EBITDA (21.1%) lags Metro Brands (30.5%), isolating a premiumization and pricing issue.
- 3. Asset Turnover Branch: Bata is 0.91x (down from 1.04x). Comparing Rs. 337.57 Cr CapEx against flat +0.3% YoY revenue isolates a Fixed Asset Productivity issue (COCO store upgrades failed to drive volume, as consumers purchase sneakers online or from rivals).
- 4. Working Capital Branch: Inventory days rose to 195 (vs. Relaxo's 177 days), isolating a Working Capital/Inventory velocity issue.

3. Strategic Recommendations & How They Help

- 1. Standalone sneaker stores: Launch dedicated shoe spots to capture casual wear demand. Drives the Revenue/ASP branch.
- 2. Shift to franchise model: Open new stores through partners in smaller cities. This directly reduces the Capital Employed branch by transferring lease liabilities and CapEx, driving Asset Turnover above 1.15.
- 3. Inventory days reduction (195 to 155): Transition to a demand-pull model to release trapped capital in the Working Capital branch.
- 4. ROCE & Solvency: Removing heavy store leases from the balance sheet improves return on capital, self-funds expansion, and reverses the Altman Z'-Score decline (FY25: 2.14).

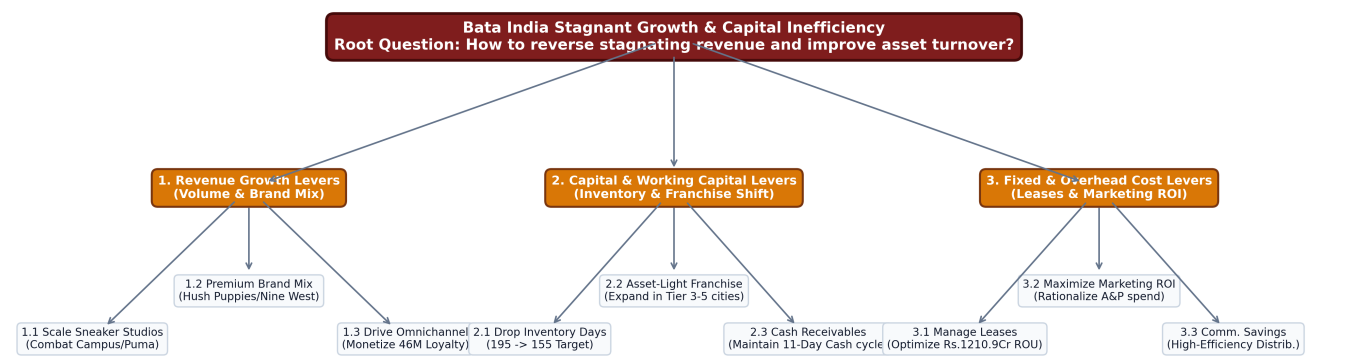
4. Derivation of Working Capital Cash Release

- 1. Base cash release: Reducing stock days by 40 days releases Rs. 167.10 Cr in cash based on current numbers.
- 2. Consulting Target: Adjusted for growth and peer metrics, this shift releases Rs. 125.40 Cr in trapped cash by FY27 relative to the status quo, funding brand marketing and technology rollouts with zero new debt.
- 3. Reinvestment: This cash can fund marketing and new franchise stores without taking on any expensive bank loans.

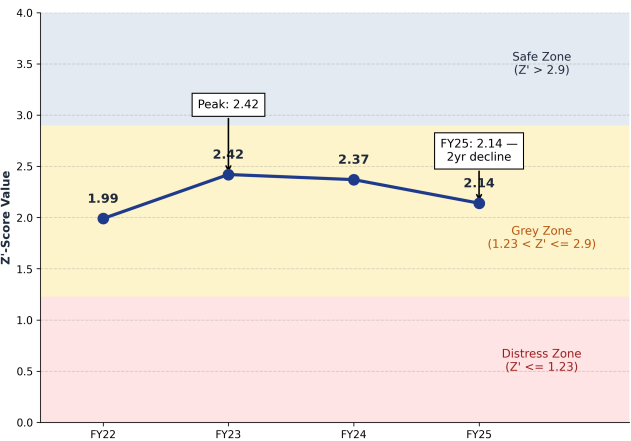
5. Sources for Case Study Data

- 1. Consolidated Profit and Loss Account and Note 42 (Working Capital) of the Bata India Limited FY25 Annual Report.
- 2. Peer consolidated databases for Metro Brands, Relaxo Footwear, and Campus Activewear.

Bata India Tailored Strategic MECE Issue Tree



Altman Z'-Score Trend with Zone Bands



Peer EBITDA Margin Comparison (FY25 %)

